

MRAM pitch deck

PITCH — MRAM — VERDICT

PROPOSED — PENDING ADJUDICATION — No position, no order. Both benches independently landed on flat at \$18.45; we agree, and we are publishing the price levels and the specific pieces of evidence that would make us buy.

What we believe

Everspin makes magnetic memory chips. Two things are true about it at the same time, and most of the argument on this name comes from people picking one and ignoring the other.

The first is that the operating business is genuinely getting better. Product revenue in the June 2026 quarter was \$15.3M against \$11.1M a year earlier — up 38%. Gross margin went from 51.3% to 53.9%. The company reported a GAAP net loss of \$3.6M, but \$4.0M of that quarter's expense was legal fees defending a patent suit; strip that out and the quarter was profitable by about \$0.4M. The loss is the lawsuit, and the lawsuit has an end date.

The second is that the headline number everyone quoted — \$18.7M, a record, +42%, versus a guide of \$15.5–16.5M — is not what it looks like. \$3.3M of it came from a development contract, not from selling chips. In April 2026 Everspin signed a 30-month subcontract with Amentum worth about \$40M, sitting under Amentum's prime contract on a U.S. Navy microelectronics program. The stated purpose is to build on-shore Toggle MRAM production capability. Everspin bills against it as it incurs cost, and the whole thing finishes in 2028. As of June 30 there was \$37.0M left to run.

So our view is: this is a real, improving, small semiconductor company whose reported growth rate is being flattered by roughly \$11M–\$15M a year of customer-funded engineering work that stops in 2028, and whose reported losses are being made worse by a legal bill that also stops. Both distortions are large. They point in opposite directions. Net of both, at \$18.45 the stock is somewhere between roughly fair and modestly expensive — not a fraud, not a bargain.

What keeps us out is not valuation. It is that Everspin is a respondent in an ITC patent case whose remedy, if granted, would block imports of products it sells today, and we cannot size that from public information.

What the market believes

Three analysts cover it. They model \$73.0M of revenue in 2026 and \$83.6M in 2027 — about 15% growth — with a price target averaging \$25.67 and a range of \$19 to \$38. That consensus takes the reported revenue line at face value, including the development contract, and extends it forward.

Separately, 3.5M shares are sold short — about 16% of the tradeable float, roughly three days of average volume. Kerrisdale published a bear report in May 2026. The stock is \$18.45 against a 52-week low of \$5.86 and a 52-week high of \$51.50: it has tripled off the low and is still down 64% from the high. This is a heavily fought-over, heavily opinionated stock. Nobody is unaware of it.

Why we might have edge

The gap between our view and the sell-side view is a specific, checkable disagreement about one line item, not a general feeling that the market is wrong.

Consensus 2027 revenue of \$83.6M appears to include roughly \$14.8M from the Amentum development contract. That contract has a disclosed completion date and, as of today, no disclosed successor. If you take it out of both years, the durable business goes from \$62.3M in 2026 to \$68.8M in 2027 — about 10% growth, not 15% — and the enterprise value of \$405M is 5.9x that 2027 base rather than 4.8x the reported one. Analysts capitalizing a contract with an expiry date at the same multiple as recurring product revenue is a specific, identifiable error, and it is the strongest thing we have.

Second, the cash position is not what the balance sheet implies. Cash is \$43.9M. Legal defense is running \$4.0M a quarter and rising (it was \$1.6M in Q1, \$4.0M in Q2). The administrative law judge's target date is July 2027, which is roughly four more quarters, so about \$16M more. A related Delaware case is stayed and resumes afterward. Realistically usable cash is closer to \$28M than \$44M.

Third — and this is the one the market seems genuinely not to have priced — the ITC case covers “spin transfer torque” MRAM devices, wafers, modules, embedded MRAM and evaluation boards, and the complainant is asking for an exclusion order plus a cease-and-desist order. Everspin's own Q2 press release says product sales “include both Toggle MRAM and STT-MRAM revenue.” STT products ship today, inside that \$15.3M. The company does not break out how much. So the exposure is non-zero and, from public filings alone, unbounded.

Why it might be priced in

We should be honest that our edge is thin and partly manufactured.

The Amentum contract was not a surprise. It was signed April 24, 2026, guidance was issued April 29, and it was announced in an 8-K on April 30 — more than three months before the quarter printed. Anyone building a model had it. The claim that the beat “masked” anything does not survive that chronology.

The valuation gap is smaller than a first pass suggests. Our own two benches, working from the same numbers, produced fair values of \$11.40 and \$15.30–\$17.00. The midpoint of that spread is roughly 15% below the tape. That is not a mispricing; it is a modelling disagreement.

Sixteen percent short interest means the bear case is well distributed. Kerrisdale's published target was \$14 — above our red bench's \$11.40 — so even the professional bear is less bearish than our most

negative internal view. When you are more pessimistic than the public short report, you should check your work rather than congratulate yourself.

And the ITC exposure is public. The Federal Register notice is from March 2026. Everspin discloses the case in its 10-Q. We are not the only people who can read it. Our advantage, if any, is narrower: we noticed that the scope covers a product line the company actually sells rather than only the data-center product it has not launched. That is a real distinction, but it is one careful reading away from anyone.

What we checked ourselves

Claim	How checked	Found	Confirmed?
Share count	10-Q cover page, filed 2026-08-05	24,350,009 shares as of 2026-07-30. Our evidence pack carried 22,504,957 (June 2025) and the original brief used 23.3M	Both stale — pack superseded. Market cap \$449.3M, enterprise value \$405M, not the \$386M the brief used
\$40M contract is a defense product ramp	10-Q revenue note	Two engineering services agreements, \$40.3M total, revenue recognized as costs are incurred, \$6.2M billed, \$3.3M recognized, \$2.9M deferred, \$37.0M remaining, completing in the year ended 2028-12-31	Refuted as a product ramp. It is customer-funded development work with an end date
“Not a subcontract, not a prime, counterparty unnamed” (red bench)	8-K and company announcement, 2026-04-30	It is a subcontract — firm-fixed-price IDIQ with Amentum, on an existing U.S. Navy prime contract, signed 2026-04-24, explicitly to develop on-shore Toggle MRAM production	Red bench wrong on all three clauses. Right on the accounting, wrong on the structure
The beat masked a guidance miss	Revenue disaggregation (\$15,313K product / \$0 licensing / \$139K royalties / \$3,284K services) plus announcement dates	Arithmetic holds: excluding the new contract, revenue was \$15.452M against a \$15.5M floor. But the shortfall is \$48K — 0.31% — and the contract was public three months before the print	Refuted as masking. Red’s own proposed detector requires the contract to be first disclosed in the same filing; it wasn’t. The detector fails on its own evidence
Non-product revenue fell 93%	Recomputed from the same table	Our red bench compared unlike things. It measured this year’s \$139K (excluding services) against last year’s \$2,110K (including \$1,142K of services). Like-for-like excluding services both years: \$139K vs \$968K, down 85.6%. Including services both years: \$3,423K vs \$2,110K, <i>up</i> 62%	Real but overstated. Licensing did go from \$643K to zero and royalties fell — about \$0.8M of lumpy IP income is gone. That is the honest version
Customer concentration deteriorating (24% of revenue, 33% of receivables)	10-Q concentration table	Largest customer was 21% of Q2 2026 and 20% of first-half 2026. The 24% figure is the <i>prior-year</i> column. Receivable concentration went from 57% at year-end to 33% at June 30 — improving	Red bench misread the table and reported an improvement as a deterioration

Claim	How checked	Found	Confirmed?
ITC exposure is trivial because STT has no revenue	Federal Register notice 2026-04215 plus company Q2 release	Scope covers STT-MRAM devices, wafers, modules, embedded MRAM. Company states product sales include both Toggle and STT revenue. The “three-year roadmap, no revenue” quote refers to CXL data-center modules — one application of STT, not STT itself	Red bench conflated a product line with one of its applications. Exposure is larger than red priced, and unquantifiable from public data
Cash is unencumbered	10-Q management discussion and non-GAAP reconciliation	Administrative expense +\$4.2M (+114.9%) year over year, attributed to patent litigation costs. Litigation add-back \$4,027K in Q2, \$5,656K first half — so Q1 was \$1,629K and the cost is still climbing	Confirmed. Roughly \$16M more to the July 2027 target date
Cash generation	Statement of cash flows	First-half operating cash flow +\$729K, which includes \$2.9M of customer prepayment on the development contract. Back that out and add back litigation: about +\$3.5M	Confirmed but flattered. Underlying is roughly breakeven, not burning and not compounding
Blue bench fair value \$15.30–\$17.00 from “5–6x plus \$28M cash”	Recomputed	$5x \times \$68.8M + \$28M \div 24.35M = \$15.28$. 6x gives \$18.10 , not \$17.00. The stated range is really 5–5.5x	Our blue bench’s stated multiple range does not reproduce its stated output. At the 6x it claims, its fair value equals the tape exactly
Red bench fair value \$11.40	Recomputed	$4x \times \$62.3M$ (2026 durable base) + $\$28M \div 24.35M = \11.39	Reproduces. But 4x on a 54%-gross-margin semiconductor with no debt is a punitive multiple, and it assigns zero value to \$40.3M of customer-funded development
The development contract is low-margin filler	Inferred from mix	Gross margin rose 51.3% → 53.9% while the contract went from 8.6% to 17.5% of revenue. If the rest of the mix held, the implied margin on the contract is roughly 60–66%	Not disclosed — this is our inference, not a fact. But “low-quality revenue” is not supportable as a margin claim
Price	Interactive Brokers	Not obtained — permission denied this session. \$18.45 cross-checked against a third-party quote dated 2026-08-18, matching the pack	Not verified to our own live source. Every price level below inherits that

PROPOSED ENTRY BANDS

Both benches say no entry. We are not initiating, not staging an order, and not chasing. What follows are the levels and conditions at which this comes back to court.

No-chase rule. No purchase above \$18.45 under any circumstances, including good news. Our own bull-side fair value tops out at \$18.10 when its arithmetic is done correctly, which means there is no version of our internal math where paying today's price is justified. The allowance we sometimes make for paying up does not apply here: it requires fairness to be *verified*, and the ITC exposure is explicitly not.

Reopen band — \$15.30 or below. This is the bull bench's own floor fair value (5x the 2027 durable revenue base of \$68.8M, plus \$28M of realistically usable cash). Reaching it triggers a re-court, not a purchase. At this level we would still be buying an unquantified legal exposure.

Starter band — \$12.45 or below, 0.25% of book. This is 4x the 2027 durable base plus \$28M cash — the bear bench's own punitive multiple applied to its own numbers, one year forward. At this price the most negative internal view is fully in the price and we are paid for the legal tail. Buy in one clip, no averaging into weakness beyond the add below.

Add band — \$11.40 or below, additional 0.25% of book. The bear bench's stated fair value, computed off the nearer 2026 durable base of \$62.3M. Total position capped at **0.5% of book**, hard ceiling 0.75%. Sizing is deliberately small for two reasons: 16% short interest with three days to cover makes this violently reflexive in both directions, and the stock has already tripled off its low, so "cheap" here is a statement about our model, not about the chart.

Evidence-gated alternative entry — up to \$17.00, 0.25% of book, only if all three land together: 1. Everspin or the ITC record establishes that STT products sold in the U.S. are wafer-fabricated and assembled domestically, so an import exclusion order cannot reach the shipping revenue base; **and** 2. Q3 shows product revenue of \$17M or more — meaning any raised guidance is chips, not the ~\$3.7M-per-quarter development annuity; **and** 3. An Amentum task order with unit pricing, or any 8-K converting either agreement into volume production or supply.

Any two of three is not enough. The first condition is the one that actually gates the tail.

No short. 16.13% of float short and 2.95 days to cover trips our own exclusion on crowded shorts. The bear case is correct in places and unownable as a position.

Trims and exits (only if a position exists). Exit in full on: an initial determination finding violation with a remedy that reaches products currently generating revenue; termination or non-renewal of the Amentum agreement; or an equity raise done below our average cost. Trim half on the stock reaching \$25.67 (consensus target) absent any of the three evidence gates above.

Catalyst dates. CXL demonstration promised "into September" 2026 — month only, no confirmed date. Q3 print estimated 2026-11-11, which is derived from a data vendor and **not confirmed by any company announcement** — treat it as approximate. Administrative law judge target date 2027-07-06. Development contract completion during calendar 2028. The ITC evidentiary hearing date and the Delaware case's post-stay schedule are both unknown to us and need to be pulled.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 11.4 (deck-provisional: Bear bench stated fair value on FY26 durable base \$62.3M; add 0.25%, total position capped 0.5%)
- filing watch: 8-K until 2027-02-14 (deck-provisional: Amentum task order with unit pricing, or conversion of either engineering services agreement into volu)
- dated pack MRAM|2026-09-30: MRAM: CXL data-center MRAM demonstration promised ‘into September’ 2026 — month only, no specific date given (date confirmed=False)
- dated pack MRAM|2026-11-11: MRAM: Estimated Q3 2026 earnings date, derived from a data vendor and not named in any company announcement (date confirmed=False)
- dated pack MRAM|2027-07-06: MRAM: Administrative law judge target date in ITC investigation 337-TA-1487 (date confirmed=False)
- dated pack MRAM|2028-12-31: MRAM: Engineering services agreements complete during the year ended this date; \$37.0M of the \$40.3M remained at 2026-06-30 with no disclose

What remains unverified

The thing that decides the case. Where STT-MRAM products are manufactured and assembled. They are built on a 300mm process at GLOBALFOUNDRIES; an exclusion order stops imports, so whether the order can touch revenue depends entirely on wafer and packaging geography. We do not know it. Without it, the downside tail is unbounded from public data, and that alone is why the answer is flat rather than a starter.

Toggle versus STT revenue split. Not disclosed. The company breaks revenue down by geography, sales channel and recognition timing only. Every attempt to size ITC exposure against the revenue base is therefore an estimate.

How the development contract actually recognizes. The \$10.7M in 2026 and \$14.8M in 2027 that we subtract from consensus is a straight-line estimate of a cost-incurred schedule. Development contracts are rarely straight-line. Call this plausible, not confirmed. Everything downstream — the durable revenue base, the multiple, both fair values — inherits that uncertainty.

Who the Asia-Pacific customers are. \$20.06M of \$33.6M in first-half revenue — 59.7% — comes from Asia-Pacific, and no foreign customer is named anywhere in the filings. We could not run a restricted-party screen without names. A company doing a U.S. Navy on-shoring program with 60% of revenue in Asia-Pacific has a tension worth understanding, and neither bench resolved it.

The share count bridge. Diluted weighted-average shares were 22.5M as of mid-2025; cover-page shares outstanding are 24.35M as of July 2026. Those are different measures and not directly comparable, but the gap is large enough that we should know what closed it — stock compensation alone does not obviously get there. Neither bench looked.

The second agreement. “Two engineering services agreements totalling \$40.3M” is roughly \$40.0M of Amentum plus about \$0.3M of something else. Describing that as two customers overstates

diversification; effectively there is one.

The gross margin on the contract. Our 60%+ figure is backed out of mix arithmetic under an assumption that the rest of the business held margin flat. It is an inference. The company does not disclose segment margin.

Whose numbers moved and why. Consensus is three analysts. We have not read their notes and do not know whether they have already adjusted for the 2028 completion date. Our central claim — that the street capitalizes a terminating contract — is inferred from the shape of the 2027 estimate, not from anyone's published model.

The price itself. Our live broker quote was unavailable this session. Every level in this deck rests on an \$18.45 that we cross-checked against a third-party source rather than pulled ourselves.

Primary sources: the quarterly report is at

<https://www.sec.gov/Archives/edgar/data/1438423/000162828026053558/mram-20260630.htm> and the ITC investigation scope at <https://www.federalregister.gov/documents/2026/03/04/2026-04215/certain-magnetoresistive-random-access-memory-mram-devices-products-containing-same-and-components>.

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